

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 219.74		USD 42.26		-80.8%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.7% Discount rate (CAPM)	USD 42.26 -81% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 42.26, against a market price of USD 219.74 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 105%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong business with exceptional margins and cash flow, but at USD 220 the market is pricing in unsustainably high growth that we do not see materializing.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates robust operating margins (projected terminal margin of 36.2%) and significant free cash flow generation (\$97 billion in FY2026), supported by scale and advanced architectures.

What the market prices in. The current share price implies an aggressive first-year revenue growth of approximately 105%, decaying thereafter, reflecting Wall Street's expectation of continued hyper-growth and margin expansion.

What we expect. Our base case assumes a more conservative 20% revenue growth in year one, with terminal operating margins stabilizing at 36.2% and terminal growth at 2.5%, reflecting normalization after recent extraordinary growth spikes.

The gap. The market's expectation of sustained >100% revenue growth contrasts sharply with our 20% forecast, leading to an 81% downside to our intrinsic DCF value of USD 42.26; this disconnect suggests the current price overvalues NVIDIA's near-term growth prospects and margin sustainability.

Why SELL

- Recent revenue growth spikes (FY2024 +126%, FY2025 +114%) are unlikely to be sustained given industry cyclicalities and supply constraints.
- Operating margins are expected to normalize from peak levels (FY2025 62%) to a more sustainable terminal margin of 36.2%.
- The high discount rate (14.7% WACC) reflects execution and market risks, which are not fully priced in by consensus.
- Management's optimistic outlook and capital return programs are positive but do not justify the current valuation premium.
- Risks around supply chain, geopolitical constraints (e.g., no China Data Center revenue assumed), and competitive pressures could further pressure growth.

Biggest catalyst. A quarterly earnings report showing revenue growth and margins materially below market expectations, triggering a re-rating lower.

Biggest risk. Sustained acceleration in Data Center demand and margin expansion beyond our base case, validating the market's high growth assumptions.

We would turn more positive if:

- Sustained quarterly revenue growth above 50% beyond FY2024 levels.
- Gross margins consistently above 70% with operating margins expanding beyond 60%.
- Successful resolution of supply chain constraints enabling higher capacity and market share gains.

We would turn more negative if:

- Revenue growth falling below 15% in the next fiscal year.

- Operating margins declining below 30% due to pricing pressure or increased costs.
- Geopolitical or supply chain disruptions materially impacting product availability or sales.

The case against our view. The market may be correctly pricing in a structural shift in AI and data center demand that drives sustained hyper-growth and margin expansion, which our conservative assumptions fail to capture, potentially leading to significant upside from current levels.

BUSINESS OVERVIEW

NVIDIA generates revenue primarily from Compute & Networking and Graphics segments, serving direct and indirect customers globally with AI and accelerated computing solutions.

NVIDIA operates through two main segments: Compute & Networking and Graphics. In fiscal year 2026, Compute & Networking dominated revenue with \$193.5 billion, accounting for approximately 90% of total revenue of \$215.9 billion, while Graphics contributed \$22.5 billion or about 10% of revenue. Operating income followed a similar distribution, with Compute & Networking generating \$130.1 billion and Graphics \$9.2 billion, reflecting the company's strategic emphasis on data center and AI-related platforms [1].

The Compute & Networking segment's growth is driven by accelerated computing and AI, notably the Blackwell computing platform and NVLink compute fabric for networking systems, which saw data center computing revenue increase 59% and networking revenue 142% year-over-year. Graphics revenue growth was primarily fueled by sales of the Blackwell architecture [8]. This segment serves a concentrated customer base including add-in board manufacturers, distributors, OEMs, cloud service providers (CSPs), AI model makers, and system integrators, with a few direct customers representing significant revenue shares—22% and 14% from two customers in fiscal 2026, both mainly in Compute & Networking [5][8].

Geographically, NVIDIA's revenue is heavily concentrated in the United States, which accounted for \$149.6 billion or 69% of total revenue in fiscal 2026, followed by Taiwan at \$42.3 billion and China (including Hong Kong) at \$19.7 billion. Notably, a large portion of Taiwan-headquartered customers' data center revenue is attributed to end customers in the U.S. and Europe, underscoring the global reach and complexity of NVIDIA's customer base [2][5].

The company sells its products primarily to direct customers who then supply indirect customers such as CSPs, Neocloud builders, enterprises, and public sector entities. NVIDIA's revenue model includes sales of GPUs and networking products for gaming, scientific computing, AI, data science, autonomous vehicles, and robotics. The company faces export control challenges impacting sales to China, particularly for its H20 integrated circuits, which led to a \$4.5 billion inventory charge in fiscal 2026 and may constrain future revenue from that market [4].

- Fiscal 2026 revenue: \$215.9 billion; Compute & Networking: \$193.5 billion (90%), Graphics: \$22.5 billion (10%) [1]
- Operating income FY2026: \$139.3 billion total; Compute & Networking: \$130.1 billion, Graphics: \$9.2 billion [1]
- Top two direct customers accounted for 36% of total revenue in FY2026, primarily in Compute & Networking [5][8]
- Geographic revenue FY2026: U.S. \$149.6 billion (69%), Taiwan \$42.3 billion, China \$19.7 billion [2]
- Data Center compute revenue grew 59%, networking revenue grew 142% in FY2026 driven by Blackwell and NVLink platforms [8]
- \$4.5 billion charge in Q1 FY2026 due to H20 inventory and export restrictions affecting China sales [4]

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.51
- [4] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.22
- [5] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [6] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40

FINANCIAL PERFORMANCE

NVIDIA's FY2026 revenue surged 65% driven by AI and accelerated computing, while margins contracted due to inventory charges and business model shifts.

NVIDIA's fiscal year 2026 revenue reached \$215.9 billion, a 65% increase from \$130.5 billion in fiscal 2025, primarily propelled by major platform shifts in accelerated computing and AI. Data Center revenue grew 68%, fueled by the transition to Blackwell full-scale datacenter solutions, while Gaming revenue rose 41% due to strong Blackwell demand despite anticipated supply constraints in FY2027. Professional Visualization and Automotive revenues increased 70% and 39%,

respectively, reflecting new product launches and adoption of self-driving platforms. This broad-based growth underscores NVIDIA's successful penetration across multiple high-growth segments [1][4].

Despite robust revenue growth, gross margin declined 3.9 percentage points to 71.1% from 75.0% in FY2025. This contraction was largely attributable to the business model transition from Hopper HGX to Blackwell datacenter solutions and a significant \$4.5 billion charge related to H2O excess inventory and purchase obligations recognized in Q1 FY2026. Inventory provisions totaled \$7.2 billion for the year, with net unfavorable margin impact of 2.6%, reflecting conservative inventory management amid market uncertainties. Operating expenses rose 41% to \$23.1 billion, driven by increased compensation and infrastructure costs associated with employee growth and compute investments [1][4][7][8].

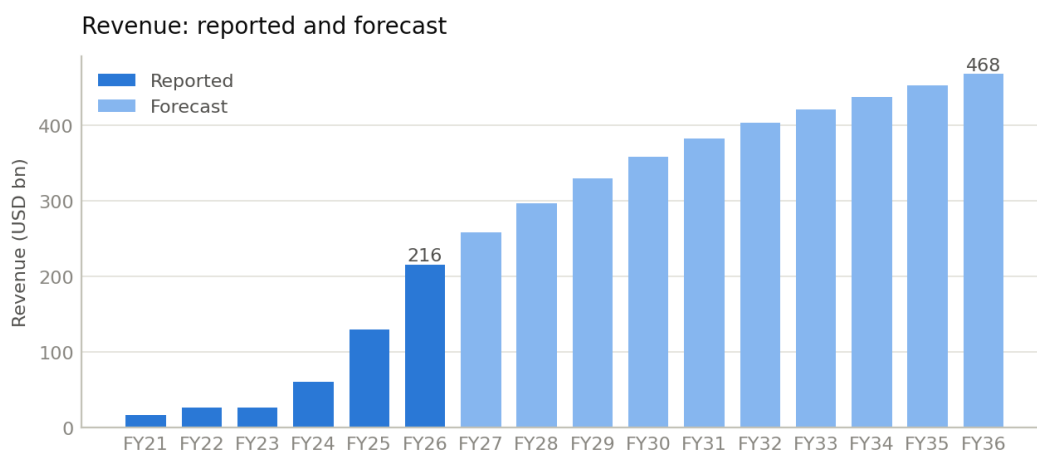
Operating income increased 60% to \$130.4 billion, reflecting strong top-line growth offsetting margin pressures and higher operating expenses. Net income rose 65% to \$120.1 billion, with diluted EPS up 67% to \$4.90, indicating effective leverage of revenue growth on profitability. Cash flow from operations surged 60% to \$102.7 billion, supporting capital expenditures of \$6.0 billion and financing outflows of \$48.5 billion. The company's free cash flow of \$96.6 billion reflects strong cash generation capacity despite elevated investment levels [1][3][6].

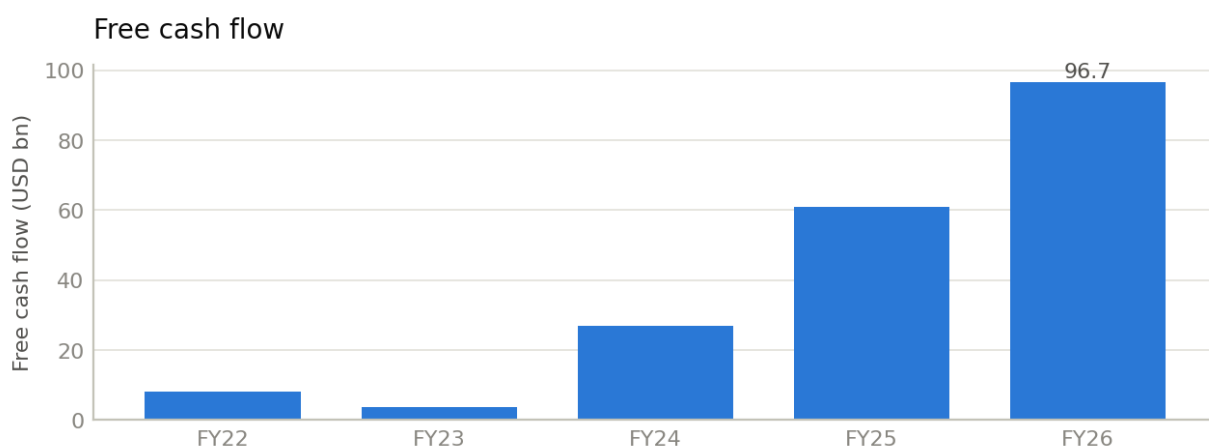
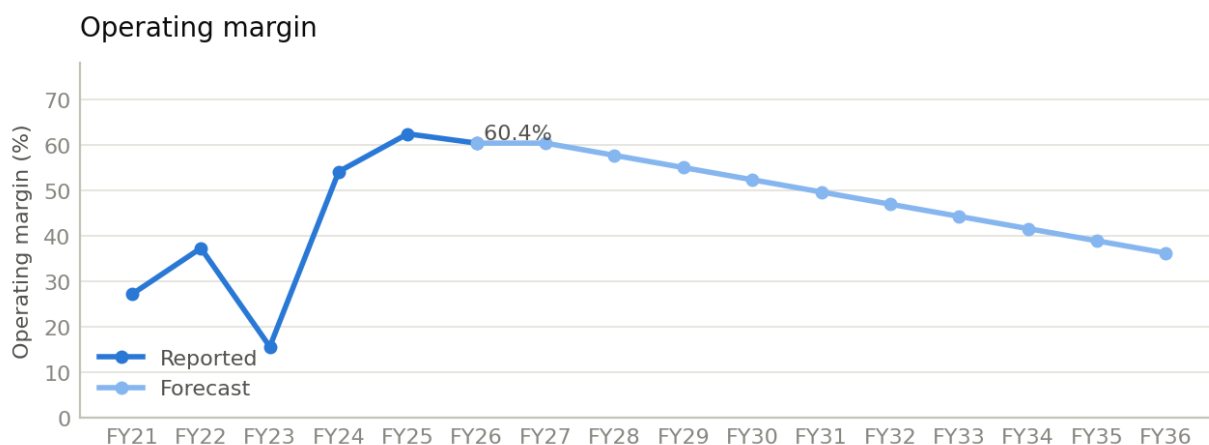
NVIDIA's margin profile also reflects a strategic shift in expense allocation, with R&D; expenses increasing 43% to \$18.5 billion and SG&A; rising 31% to \$4.6 billion, driven by compensation increases and infrastructure expansion. The company's focus on innovation and scaling infrastructure supports its leadership in AI and accelerated computing, though it exerts near-term margin pressure. Overall, NVIDIA's FY2026 financial performance demonstrates robust growth fueled by AI-driven demand, tempered by inventory-related charges and strategic investments in talent and infrastructure [6][8].

- Revenue increased 65% to \$215.9 billion in FY2026 from \$130.5 billion in FY2025 [1].
- Gross margin declined 3.9 points to 71.1%, impacted by a \$4.5 billion H2O inventory charge [1][7].
- Operating expenses rose 41% to \$23.1 billion, driven by higher compensation and infrastructure costs [1][6].
- Net income grew 65% to \$120.1 billion; diluted EPS increased 67% to \$4.90 [1].
- Operating cash flow increased 60% to \$102.7 billion, supporting \$6.0 billion in capital expenditures [3].
- Data Center revenue grew 68%, Gaming revenue 41%, and Professional Visualization revenue 70% [4].

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [8] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.29





Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform Blackwell, expanding data center solutions, and automotive AI adoption, tempered by supply constraints and product transitions.

NVIDIA's fiscal 2026 revenue surged 65% to \$215.9 billion, propelled primarily by accelerated computing and AI platform shifts, notably the Blackwell architecture which underpinned 68% growth in Data Center revenue and 41% growth in Gaming revenue. Professional Visualization revenue also rose 70%, driven by Blackwell demand and the DGX Spark launch, while Automotive revenue increased 39% due to adoption of self-driving platforms. These results demonstrate the tangible impact of NVIDIA's AI-centric product portfolio on current revenue streams [1].

Looking forward, management emphasizes continued strong demand for Blackwell and the upcoming Vera Rubin architecture, expecting simultaneous sales and customer adoption, though the timing of Vera Rubin's ramp remains uncertain. Supply constraints, particularly in Gaming, are expected to persist for several quarters, limiting near-term growth despite robust demand. The company is strategically securing inventory and capacity well beyond typical horizons to mitigate supply tightness and capitalize on growth opportunities [4][6][5].

Product transitions across Data Center, Gaming, Professional Visualization, and Automotive segments introduce complexity and risk. Increased cadence of new architectures and product configurations may cause revenue volatility due to qualification times, channel inventory adjustments, and customer readiness to adopt new infrastructure. Prior issues with

low-yielding Blackwell material and inventory provisions exemplify these risks. Execution of these transitions is critical to sustaining growth, with potential impacts on gross margins and supply chain costs [7][8].

Automotive growth prospects are bolstered by the introduction of Alpamayo, an open portfolio of AI models enabling autonomous vehicles, with early commercial deployment in Mercedes-Benz CLA and scaling robotaxi fleets from major players. Physical AI applications have already contributed over \$6 billion in fiscal 2026 revenue, with expectations for exponential growth in compute demand as autonomous vehicle deployments scale to millions over the next decade. Partnerships expanding AI infrastructure into industrial robotics and digital twin applications further diversify growth drivers [5].

- Fiscal 2026 revenue: \$215.9 billion, +65% YoY, driven by AI and accelerated computing [1]
- Data Center revenue growth: +68% YoY, led by Blackwell platform [1]
- Gaming revenue growth: +41% YoY, constrained by supply tightness expected into FY2027 [1][6]
- Automotive revenue growth: +39% YoY, driven by self-driving platform adoption and Alpamayo launch [1][5]
- Strategic inventory build and capacity expansion to address supply constraints and support AI infrastructure demand [5]
- Risks from frequent product transitions causing revenue volatility and margin pressure due to qualification and adoption timing [7][8]

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[2] Q22026 Earnings Release (8-K) - p.5

[3] Q32026 Earnings Release (8-K) - p.5

[4] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25

[5] Q42026 Quarterly Report - Corrected Transcript - p.6

[6] Q42026 Quarterly Report - Colette M. Kress - p.11

[7] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

[8] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35

COMPETITIVE POSITION

NVIDIA faces intense competition from established semiconductor firms, cloud providers, and geopolitical export controls that constrain its market access and cost structure.

NVIDIA competes in a highly dynamic market characterized by rapid technological evolution and intense rivalry from both traditional semiconductor companies and large cloud service providers. Its principal competitors include AMD, Intel, Huawei, and Broadcom, as well as cloud giants like Amazon, Microsoft, and Alibaba, which develop internal hardware and software solutions that overlap with NVIDIA's AI and accelerated computing products. This competitive landscape is further complicated by suppliers of Arm-based CPUs and SoC products, and networking hardware providers, reflecting the broad scope of NVIDIA's product portfolio and the diverse competitive threats it faces [1][6].

The company acknowledges that some competitors possess superior manufacturing capabilities, larger customer bases, and more extensive intellectual property portfolios, which may enable them to capture market share more effectively and adapt faster to technological and market shifts. NVIDIA's fabless manufacturing model, reliant on third-party foundries such as TSMC and Samsung, necessitates long lead times and significant inventory commitments, which have led to substantial inventory write-downs and increased costs, adversely impacting gross margins by 2.6% in fiscal 2026 [2][3][6][8].

Geopolitical factors and export controls notably impair NVIDIA's competitive position, particularly in the China data center market where it is effectively foreclosed from competing due to stringent US government licensing restrictions. These controls have allowed competitors based in China, Europe, and Israel to expand their ecosystems and challenge NVIDIA globally. The complexity and uncertainty of export licensing, coupled with potential tariff impacts and regulatory burdens, exacerbate operational risks and may erode NVIDIA's market share and financial performance over the long term [4][5].

- Principal competitors include AMD, Intel, Huawei, Broadcom, Amazon, Microsoft, and Alibaba [1]
- Competitors may have greater manufacturing resources and IP portfolios, challenging NVIDIA's market share [2]
- NVIDIA's fabless model leads to long lead times and inventory risks, with a 2.6% gross margin impact in FY2026 [3][8]
- Export controls have effectively foreclosed NVIDIA from China's data center market, benefiting competitors [4][5]
- NVIDIA relies on TSMC and Samsung for wafer fabrication and faces supply chain concentration risks in Asia [6]
- Competitive factors include product performance, pricing, software support, and access to distribution channels [6]

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [5] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [6] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

KEY RISKS

NVIDIA faces material risks from customer concentration, export controls, supply chain complexities, and geopolitical tensions impacting revenue and operations.

NVIDIA's revenue concentration poses a significant risk, with two direct customers accounting for 36% of total revenue in fiscal 2026, primarily within the Compute & Networking segment. This dependency exposes NVIDIA to substantial volatility if these customers reduce purchases, alter buying patterns, or if trade restrictions prevent sales, potentially harming financial results and operational stability [1]. The reliance on a limited partner network for system integration further compounds this risk, as increasing system complexity may exceed integrators' capabilities, threatening product delivery and customer satisfaction [1].

Export controls represent a critical and evolving risk factor materially impacting NVIDIA's business. Over the past three years, expanding U.S. export restrictions targeting GPUs and AI-related semiconductors have disrupted supply chains and distribution channels, particularly affecting sales in China and non-data center markets globally. These controls have led to reduced demand, excess inventory risks, and increased compliance burdens, with potential for further deterioration if restrictions expand geographically or product-wise [2][3]. Notably, Chinese antitrust regulators' preliminary finding that NVIDIA's compliance with U.S. export controls violated terms of the Mellanox acquisition approval could result in financial penalties or operational restrictions in China, a key market representing 31% of revenue [2][3][7].

Supply chain and macroeconomic risks are amplified by geopolitical tensions and trade policy shifts. NVIDIA's supply chain is heavily concentrated in Asia, exposing it to risks from tariffs, inflation, and global supply constraints. Efforts to increase U.S.-based manufacturing aim to mitigate these risks but depend on the domestic ecosystem's capacity to scale production timely [5][8]. Additionally, rising costs for wafers, components, logistics, and labor have negatively impacted gross margins and may continue to do so, while credit and collectability risks from customers and partners add further financial uncertainty [6].

International operations expose NVIDIA to multifaceted risks including political instability, regulatory changes, cybersecurity threats, and currency fluctuations. Cyber-attacks, increasingly sophisticated and potentially AI-enhanced, pose operational and reputational risks. The company's extensive global footprint necessitates compliance with diverse legal and regulatory regimes, with failures potentially resulting in material adverse effects on financial condition and results of operations [7][8].

- 36% of fiscal 2026 revenue derived from two direct customers, highlighting concentration risk [1].
- 31% of revenue generated from international sales, with China as a highly competitive and restricted market [7].
- Over three years of expanding U.S. export controls have disrupted supply chains and reduced demand, especially in China and non-data center segments [2][3].
- Chinese antitrust regulators' preliminary finding on Mellanox acquisition compliance may lead to penalties or restrictions, impacting China operations [2][3].
- Supply chain costs for wafers, components, and logistics have increased, negatively affecting gross margins [6].
- 42,000 employees globally with 31,000 in R&D; cybersecurity threats including AI-driven attacks pose operational risks [7][8].

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.23
- [2] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.39
- [3] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.26
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [5] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23
- [6] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.18
- [7] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.19
- [8] FY2026 Annual Report (10-K) - Item 1 -Business - p.11

OUTLOOK

NVIDIA plans aggressive share repurchases and sustained dividends, balancing capital returns with strategic investments amid strong fiscal 2026 cash flow generation.

NVIDIA's Board of Directors significantly expanded its share repurchase authorization by \$60.0 billion on August 26, 2025, bringing total repurchase capacity to \$71.2 billion as of that date, with \$62.2 billion still available by October 26, 2025. This demonstrates management's explicit commitment to returning capital to shareholders through buybacks, which are executed flexibly via open market purchases, Rule 10b5-1 plans, and structured agreements, subject to market conditions and operational needs. The repurchase program remains discretionary and may be suspended at any time, reflecting a disciplined approach to capital allocation [2][3][5].

In fiscal year 2026, NVIDIA repurchased 282 million shares for \$40.4 billion and paid \$974 million in cash dividends, returning a total of \$41 billion or 43% of free cash flow to shareholders. This capital return level underscores a robust shareholder yield strategy supported by strong free cash flow generation of \$97 billion for the year, with \$35 billion generated in Q4 alone. Dividend payments are subject to ongoing Board approval, indicating a cautious but consistent dividend policy [3][7].

Management's outlook for fiscal 2027 Q1 includes expected revenue of \$78 billion, plus or minus 2%, driven primarily by Data Center growth, although no revenue from China Data Center compute is assumed. Gross margins are forecasted to remain in the mid-70% range, with GAAP and non-GAAP gross margins around 75%, plus or minus 50 basis points. This guidance reflects confidence in sustained operational performance and margin stability amid geopolitical constraints [7].

Capital allocation priorities clearly balance shareholder returns with continued investment in technology and ecosystem development to drive long-term growth. Management emphasizes a strategic and disciplined investment process alongside capital returns, signaling a dual focus on maintaining competitive advantage and delivering superior total shareholder returns relative to peers [7].

- \$60.0 billion additional share repurchase authorization approved August 26, 2025, totaling \$71.2 billion available for repurchase as of August 26 [2][3][5]
- 282 million shares repurchased for \$40.4 billion in fiscal year 2026 [3]
- \$974 million in cash dividends paid in fiscal year 2026, with future dividends subject to Board approval [3][7]
- Free cash flow of \$97 billion generated in fiscal year 2026, with \$35 billion in Q4 alone [7]
- Q1 fiscal 2027 revenue guidance of \$78 billion $\pm 2\%$, driven by Data Center growth excluding China compute revenue [7]
- Gross margin guidance mid-70% range, with GAAP and non-GAAP margins near 75% ± 50 basis points [7]

Sources cited above.

- [1] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [2] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [6] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
- [7] Q42026 Quarterly Report - Corrected Transcript - p.6
- [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 42.26	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 235.56 (+7.2% vs price). Reconciled from USD 42.26 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 219.74. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 219.74	Gap
Revenue CAGR (10-year)	8.0%	32.6%	+24.6pp
Operating margin (mature)	36.2%	—	—
FCF margin (mature)	30.0%	—	—
Terminal growth	2.5%	13.1%	+10.6pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	259.1bn	20.0%	60.4%	123.0bn	107.3bn
FY2028	297.3bn	14.8%	57.7%	137.1bn	104.3bn
FY2029	330.3bn	11.1%	55.0%	147.0bn	97.5bn
FY2030	358.4bn	8.5%	52.3%	153.1bn	88.6bn
FY2031	382.4bn	6.7%	49.6%	156.0bn	78.7bn
FY2032	403.2bn	5.4%	47.0%	156.2bn	68.7bn
FY2033	421.6bn	4.6%	44.3%	154.4bn	59.2bn
FY2034	438.2bn	3.9%	41.6%	150.9bn	50.5bn
FY2035	453.6bn	3.5%	38.9%	146.1bn	42.6bn
FY2036	468.1bn	3.2%	36.2%	140.3bn	35.7bn

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.2%	2.0%	16.2%	USD 21.58	-90%	25%
Base case	20.0%	36.2%	2.5%	14.7%	USD 42.26	-81%	50%
Bull case	40.0%	48.2%	3.0%	13.2%	USD 92.74	-58%	25%

Probability-weighted value USD 49.71 (-77.4% vs price). Range USD 21.58 to USD 92.74, a spread of 168% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.2% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 20% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.7%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 40%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.2%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

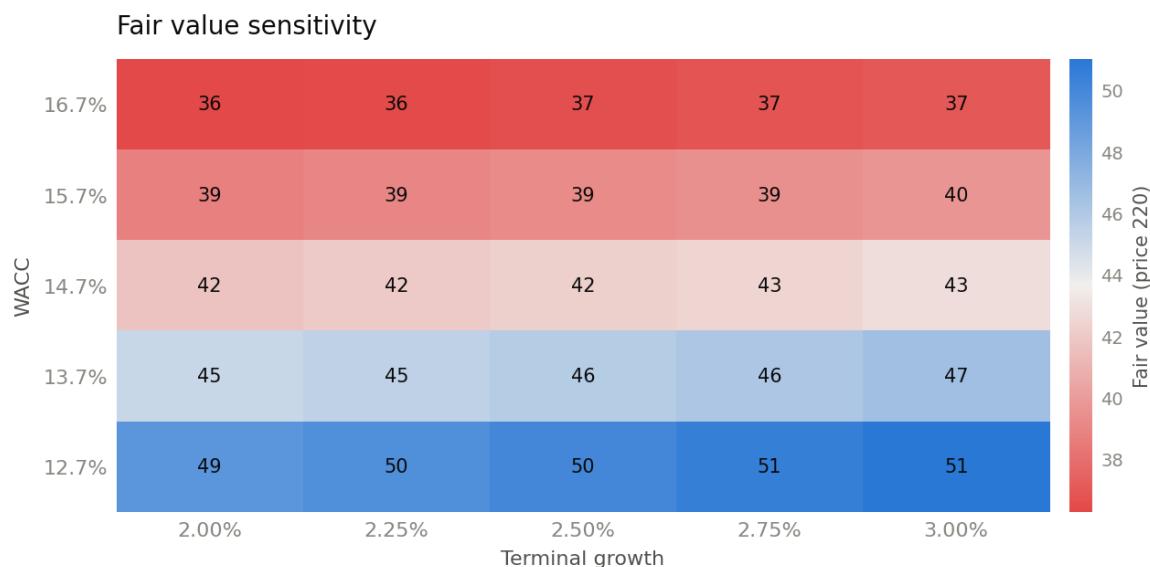
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted $(0.67 \times 2.21 + 0.33 \times 1.00) = 1.81$
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026
Cost of equity	14.7%	Derived from filings	CAPM: $4.71\% + 1.81 \times 5.50\%$
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.71\% + 1.5\%$ investment-grade spread
WACC (discount rate)	14.7%	Derived from filings	$100\% \text{ equity} \times 14.68\% + 0\% \text{ debt} \times 6.21\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	20.0%	Model estimate (bounded)	Model estimate 20%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)

Assumption	Value	Basis	Derivation
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	790.8bn	123.6x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.8tn	63.3x	44.0x	24.6x
Intel Corporation (INTC)	511.1bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	168.2bn	18.5x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	31.0x	4.7x	3.3x

Implied value applies the peer median P/E of 47.2x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 610% above our intrinsic DCF (USD 42.26). The blended value reconciles the two; read it as a triangulation, not a precise number.
- At USD 219.74 the price sits above even the bull case (USD 92.74); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 168% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quarter/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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